Netweb Technologies India Ltd

Concall Tracker, Q2 2027 update | Report date: 6 Nov 2026 | NSE NETWEB, BSE 543945 | Builds on the Q1-2027 report

Netweb designs and builds high-end computers in India: AI servers, supercomputers (HPC, high-performance computing) and private-cloud systems, plus the software that runs them. It makes them at its own plant in Faridabad and sells to government labs, cloud providers, data centres and big companies. It's one of fewer than ten NVIDIA OEM partners worldwide, which gets it early access to new chips.

1. Snapshot

Measure	Value	Plain-English read
Market value	₹22,421 cr	A mid-sized company by Indian standards.
Share price (52-week range)	₹3,771 (₹2,920 to ₹5,813)	Well off its high, in the lower half of the range.
Price-to-earnings (P/E)	~61	Buyers pay ₹61 for every ₹1 of yearly profit. Expensive, though profit is growing very fast.
Q2 FY27 revenue (Jul-Sep 2026)	₹1,323 cr	About four times a year ago, and up 61% on Q1. Its biggest quarter ever.
Q2 FY27 operating margin	14.9%	About ₹15 of operating profit on every ₹100 of sales. Held at Q1's level and above the 13-14% guide.
Q2 FY27 net profit	₹137 cr	Also about four times a year ago. H1 profit of ₹222 cr already beats all of FY26.
Return on capital	~38%	Earns about ₹38 a year on every ₹100 tied up. Very high, even after new equity came in.

2. Concall coverage

Period	Call date	Coverage
Q1 FY24 to Q4 FY26 (12 calls)	Aug 2023 to May 2026	Carried forward from earlier reports
Q1 FY27 (prior boundary)	29 Jul 2026	Covered in the Q1-2027 report
Q2 FY27 ★	26 Oct 2026	Newly deep-read in full

Only the Q2 FY27 call was read in full this time. Fourteen calls in all, a bit over three years.

★ Latest concall highlights - Q2 FY27 (call held 26 Oct 2026)

- **Another record.** Revenue ₹1,323 cr and profit ₹137 cr, both about four times a year ago. AI systems were ₹773 cr, or 58% of sales. Supercomputing (₹248 cr) and private cloud (₹245 cr) grew too, so it's not only AI.
- **Order book still growing after a huge billing quarter.** Firm orders ₹2,629 cr plus ₹653 cr where it's the lowest bidder but hasn't signed. The pipeline of deals being chased is ₹11,152 cr, and management says about 60% of the pipeline usually converts.
- **New target: ₹4,000 cr revenue in FY27,** and 30-40% yearly growth for the next two to three years. Plain read: H1 already did ₹2,143 cr, so the target asks for less in H2 than H1. The big government AI order is now mostly billed.
- **The share sale happened.** It raised ₹1,200 cr in its first equity raise since listing; ₹403 cr is still unspent. Net debt is now zero.
- **Tone: very confident.** NVIDIA's next chip platform (Vera Rubin) should be on sale by January. A Taiwan R&D subsidiary will hire hardware engineers. Physical AI and quantum computing are still R&D with no timeline.

Business mix & capacity

Domestic vs export: not broken out this quarter. The last stated split was about 95% India / 5% exports (FY26). Plain read: almost all sales are in India.
Capacity utilisation: not discussed on the call. Management has said the Faridabad plant supports over ₹3,000 cr a year. H1 alone was ₹2,143 cr and the FY27 target is ₹4,000 cr, so the plant is running past that stated figure. No expansion was announced and nobody asked. Plain read: either the plant can do more than they said, or capacity spending is coming.

★ Since our last report

Builds on the Q1-2027 report (boundary call 29 Jul 2026). Prior verdicts: trigger YES, consistency YES.

Prior read	What we said then	What the new call shows	Movement
Earning trigger	AI now in the numbers, order book growing	Revenue up again by more than half on Q1, order book up, pipeline bigger	Confirmed
Consistency	Beat guidance every year; fixed the margin	Margin held above the guide; first hard revenue target given and well covered	Confirmed
Sovereign-AI order	About ₹1,200 cr left to bill	Analyst called it "largely behind us", with ₹300-400 cr left; management didn't dispute it	On-track
Cash tied up in stock	Inventory 110 days, cash cycle 96 days	Inventory 117 days, cash cycle 94 days, customers paying faster (62 days). Guided range 90-110 days	On-track
Share sale (dilution)	₹1,200 cr approval, not used	Fully raised. Dilution happened	Done
Plant capacity	Run-rate at the stated ceiling	Run-rate now well past it; not addressed	Slipping

Verdict change this quarter: both unchanged. The trigger delivered again on a bigger base. The watch-items are the H2 slowdown built into the target, the cash tied up in stock, and silence on capacity.

★ 3. Earning-trigger thesis

India is building its own AI computing, and Netweb is the one home-grown maker that can design and build the full stack. The government's IndiaAI programme kicked it off with one large order, and now private demand matters as much: management said enterprise deals in the pipeline currently outweigh government. SBI and IDFC First Bank appeared as new customers, a sign that banks wanting data kept in India could be the next leg. The National Supercomputing Mission 2.0 is a five-year programme where Netweb aims for more than half, with orders expected from early 2027. The risk is lumpiness: the big strategic order is mostly billed, so growth now has to come from many smaller orders.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
AI server demand	Main growth engine	₹773 cr in Q2, 58% of sales	Now	Strong	unchanged
Pipeline and order book	~60% conversion; 30-40% yearly growth for 2-3 years	Book ₹2,629 cr + ₹653 cr L1; pipeline ₹11,152 cr	18-24 months	Strong	↑ improving
Enterprise and banks	Private demand now heavy	New bank customers; 449 new customers in H1	FY27-29	Moderate: early	↑ new
Supercomputing Mission 2.0	Target over half of it	Orders expected early 2027	FY28+	Unproven	new
Physical AI, quantum	R&D, no timeline	Nothing yet	Long	Unproven	unchanged

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24-FY25	30-35% growth, ~14% margin	Revenue +59% in FY25; margin ~14%	Delivered
May 2025	35-40% growth, AI to ~20%	FY26 revenue +90%, AI 43%	Delivered (over)
Early	16-17% margin, later cut to 13-14%	Target walked down twice	Missed
Since FY24	Network switches, 5G ORAN	Never became real revenue	Dropped
Q1 FY27	Hold 13-14% margin; convert ~₹2,400 cr book	14.9% in Q2; ₹2,143 cr billed in H1 and the book still grew	Delivered
Q2 FY27	₹4,000 cr FY27 revenue	H1 already more than half	Too early
Q1 FY27	Physical AI / quantum "in coming quarters"	Still no detail or timeline	Too early

Narrative drift: steady. Same three businesses, same "capability, not capacity" line, same 60% conversion figure. The core promises have been beaten. The old weak spots still stand: the margin target was cut early on, and side products faded. Physical AI and quantum now look like the next side story, and management declined to say anything concrete about them. They were also evasive on a couple of things: "We have no idea" on competition, and no answer on whether H2 will be bigger than H1.

5. Bottom line - two verdicts

Durable earning trigger? → YES

vs last quarter: unchanged

Another quarter that beat the last one by a mile, with the order book and pipeline both bigger afterwards. The new full-year target is easy given H1, which also means H2 likely runs below Q2's record. That's the shape of lumpy big orders, not a broken story. The live risks are cash tied up in inventory, rising memory-chip prices and a stretched plant.

Management consistent? → YES

vs last quarter: unchanged

They keep doing what they say on the core business: growth, margin, order conversion. The share sale was flagged last quarter and went through as signalled. Marked down slightly for dodging the H2 shape and capacity, and for vague R&D side-bets, but not enough to change the call.

Sources: Netweb Q2 FY27 earnings-call transcript (26 Oct 2026) read in full; earlier calls carried forward from the Q1-2027 Concall Tracker report; Screener.in financials. This is not investment advice. Do your own due diligence.